

Christopher. It must have been embarrassing to find himself moving out on three different occasions, not to mention the hassle of the move itself.

Christopher ended up back with his parents because he didn't know how to manage his money. He had been used to buying almost anything he wanted with the money he earned while living at home. It was a very difficult adjustment for him to have to share that "fun" money with bills like rent, utilities, and car insurance. Instead of paying these bills first, Christopher kept spending his money on entertainment, music, and clothes like he always had. When the bills arrived, he had no money left over from his paycheck to afford the necessities.

Christopher was spending his money backwards. He was paying for his "wants" before his "needs." Learning to make this distinction is fundamental to effective money management. As a practice exercise, put a check in the column which most accurately defines the following expenses. Are they primarily a want, a need, or both?

Expense	Want	Need
Car insurance		
Groceries		
Going out to eat		
Cable/Satellite TV		
Mobile phone		
Concert tickets		
New clothes		
Spring break in Florida		
Income taxes owed		
Student loans		
Premium gas for your car		
Football season tickets		
Rent		

